

Memo: Are our active equity managers earning their fees?

To: Investment Committee (practice memo) · From: Haim · Date: October 2, 2026

Data: monthly returns Jan 2015 – Aug 2026 (140 months); Cornell fiscal years FY2015–FY2025

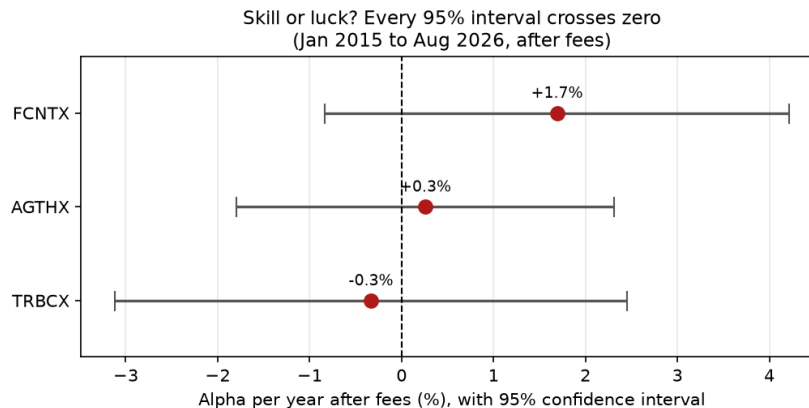
Bottom line

Keep Fidelity Contrafund on a watch list; replace Growth Fund of America and T. Rowe Price Blue Chip Growth with the Vanguard 500 index fund. After fees, none of the three managers shows statistically significant skill (0 of 3). Contrafund has the best estimate (+1.7%/yr), while the other two add roughly nothing (+0.3% and –0.3%/yr) at 15–18× the index fund's fee.

Fund comparison (returns after fees)

Fund	Return/yr	Volatility	Worst drop	Sharpe	Fee	Alpha/yr	95% CI	Verdict
FCNTX Fidelity Contrafund	15.9%	16.0%	–30.9%	0.88	0.74%	+1.7%	–0.8% to +4.2%	can't tell
AGTHX Growth Fund of America	14.2%	16.7%	–33.6%	0.76	0.59%	+0.3%	–1.8% to +2.3%	can't tell
TRBCX T. Rowe Blue Chip Growth	14.4%	18.1%	–39.8%	0.73	0.70%	–0.3%	–3.1% to +2.5%	can't tell
VFIAX Vanguard 500 Index	13.9%	15.0%	–23.9%	0.81	0.04%	–	–	benchmark

Alpha comes from a Fama-French 3-factor regression (market, size, value; R^2 0.93–0.96). All three funds lean toward growth stocks (negative value beta), which explains much of their higher raw returns.



How I'd evaluate Cornell's endowment record

Over FY2015–FY2025, Cornell's long-term investments returned an average of 8.7% a year after fees, versus 8.5% for a simple 60/40 index portfolio (Vanguard total stock and bond market funds). The year-to-year difference is large (standard deviation 7.9 points), so with 11 years the average gap would need to be about 4.8 points a year ($2 \times SD \div \sqrt{11}$) before it clearly reflects more than luck; the actual gap is +0.2 points, and –1.5 points without FY2021 (+41.9%). Against peers, Cornell's own report shows 8.6% a year over 10 years, versus 8.5% for its target portfolio and 8.0% for the peer median, ahead over 5 and 10 years and behind over 3 years. Comparisons with a 60/40 are imperfect: Cornell holds private investments that are valued infrequently, which smooths reported returns and can shift gains between fiscal years. Eleven years can show whether a program is roughly competitive, but not whether it has durable skill.

Limitations

- **Survivorship bias:** the three funds were chosen because they still exist and are well known; funds that did badly and closed are missing, which flatters active managers.
- **Small sample:** only 3 funds and about 11.7 years of data; most alphas cannot be distinguished from zero.
- **Model:** a US-stock-only 3-factor model (no momentum, quality or international factors).
- **Cornell data:** peer medians were collected only for FY2020–FY2025, and one year (FY2021) dominates the record.

Next steps

I plan to extend this to 20 years of endowment returns and add Cornell's published benchmarks.

All numbers are produced by *analysis.py*; see *output/summary.xlsx* for the full tables and sources.